Lesson Planning

Complete Lesson Plan Book

Class: Class 12 – ICom

Subject: Economics

Medium: English

Academic Year 2026-27

This book is prepared as a teaching guide for teachers.

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Unit 1: National Income: Concepts and Measurement

Learning Objectives

• Define national income and related aggregates.

• Explain the three methods of measurement.

• State the difficulties in measuring national income.

Key Concepts

• GNP, GDP, NNP, per capita income.

• Methods: output, income, expenditure.

• Double counting and how value added avoids it.

• Difficulties: non-market activity, data gaps.

Teaching Methodology (Step by Step)

1. Warm-up: ask students what they already know about National Income: Concepts and Measurement to activate prior knowledge.

2. Present the core ideas of National Income: Concepts and Measurement with clear board notes, definitions and real-life examples.

3. Explain each key concept in sequence, using questions to check understanding at every stage.

4. Guided practice: short written exercises and class discussion applying National Income: Concepts and Measurement.

5. Recap the main points, clear remaining doubts and close with a quick oral quiz.

Classroom Activities

• Pair activity: students discuss the key ideas of National Income: Concepts and Measurement and present a two-minute summary to the class.

• Group task: prepare a wall chart or mind map on National Income: Concepts and Measurement for classroom display.

Assessment Questions

1. Distinguish GNP and GDP.

2. Explain the three methods of measuring national income.

3. What is double counting? How is it avoided?

Homework

• Write a one-page summary of National Income: Concepts and Measurement in your notebook.

• Attempt the exercise questions given at the end of the chapter.

Time Allocation

2 periods (80 minutes)

Unit 2: Consumption, Saving and Investment

Learning Objectives

• Explain the consumption function.

• Describe the relationship between saving and investment.

• Explain the multiplier effect briefly.

Key Concepts

• Consumption rises with income; MPC and APC.

• Saving = income minus consumption.

• Investment: spending on capital goods.

• Multiplier: small investment creates larger income.

Teaching Methodology (Step by Step)

1. Warm-up: ask students what they already know about Consumption, Saving and Investment to activate prior knowledge.

2. Present the core ideas of Consumption, Saving and Investment with clear board notes, definitions and real-life examples.

3. Explain each key concept in sequence, using questions to check understanding at every stage.

4. Guided practice: short written exercises and class discussion applying Consumption, Saving and Investment.

5. Recap the main points, clear remaining doubts and close with a quick oral quiz.

Classroom Activities

• Pair activity: students discuss the key ideas of Consumption, Saving and Investment and present a two-minute summary to the class.

• Group task: prepare a wall chart or mind map on Consumption, Saving and Investment for classroom display.

Assessment Questions

1. What is the marginal propensity to consume?

2. Explain the relationship between saving and investment.

3. What is the multiplier? Give an example.

Homework

• Write a one-page summary of Consumption, Saving and Investment in your notebook.

• Attempt the exercise questions given at the end of the chapter.

Time Allocation

2 periods (80 minutes)

Unit 3: Money and Banking

Learning Objectives

• Define money and state its functions.

• Describe the functions of commercial banks.

• Explain the functions of the central bank.

Key Concepts

• Money: medium of exchange, measure of value, store of value.

• Banks: accept deposits, advance loans, create credit.

• State Bank of Pakistan: note issue, bankers' bank.

• Credit control: bank rate, open market operations.

Teaching Methodology (Step by Step)

1. Warm-up: ask students what they already know about Money and Banking to activate prior knowledge.

2. Present the core ideas of Money and Banking with clear board notes, definitions and real-life examples.

3. Explain each key concept in sequence, using questions to check understanding at every stage.

4. Guided practice: short written exercises and class discussion applying Money and Banking.

5. Recap the main points, clear remaining doubts and close with a quick oral quiz.

Classroom Activities

• Pair activity: students discuss the key ideas of Money and Banking and present a two-minute summary to the class.

• Group task: prepare a wall chart or mind map on Money and Banking for classroom display.

Assessment Questions

1. Define money and state its four functions.

2. Describe three functions of commercial banks.

3. How does the central bank control credit?

Homework

• Write a one-page summary of Money and Banking in your notebook.

• Attempt the exercise questions given at the end of the chapter.

Time Allocation

2 periods (80 minutes)

Unit 4: Inflation: Causes, Effects and Control

Learning Objectives

• Define inflation and its types.

• Explain demand-pull and cost-push inflation.

• Suggest measures to control inflation.

Key Concepts

• Inflation: continuous rise in the general price level.

• Demand-pull: too much money chasing few goods.

• Cost-push: rising wages and input costs.

• Control: monetary policy, fiscal policy, supply increase.

Teaching Methodology (Step by Step)

1. Warm-up: ask students what they already know about Inflation: Causes, Effects and Control to activate prior knowledge.

2. Present the core ideas of Inflation: Causes, Effects and Control with clear board notes, definitions and real-life examples.

3. Explain each key concept in sequence, using questions to check understanding at every stage.

4. Guided practice: short written exercises and class discussion applying Inflation: Causes, Effects and Control.

5. Recap the main points, clear remaining doubts and close with a quick oral quiz.

Classroom Activities

• Pair activity: students discuss the key ideas of Inflation: Causes, Effects and Control and present a two-minute summary to the class.

• Group task: prepare a wall chart or mind map on Inflation: Causes, Effects and Control for classroom display.

Assessment Questions

1. Define inflation. State its two main types.

2. Distinguish demand-pull and cost-push inflation.

3. Suggest three measures to control inflation.

Homework

• Write a one-page summary of Inflation: Causes, Effects and Control in your notebook.

• Attempt the exercise questions given at the end of the chapter.

Time Allocation

2 periods (80 minutes)

Unit 5: International Trade

Learning Objectives

• Explain the basis of international trade.

• State the advantages of free trade.

• Describe Pakistan's main exports and imports.

Key Concepts

• Trade from differences in resources and costs.

• Advantages: variety, efficiency, larger markets.

• Balance of trade vs balance of payments.

• Pakistan: textiles exports; machinery, oil imports.

Teaching Methodology (Step by Step)

1. Warm-up: ask students what they already know about International Trade to activate prior knowledge.

2. Present the core ideas of International Trade with clear board notes, definitions and real-life examples.

3. Explain each key concept in sequence, using questions to check understanding at every stage.

4. Guided practice: short written exercises and class discussion applying International Trade.

5. Recap the main points, clear remaining doubts and close with a quick oral quiz.

Classroom Activities

• Pair activity: students discuss the key ideas of International Trade and present a two-minute summary to the class.

• Group task: prepare a wall chart or mind map on International Trade for classroom display.

Assessment Questions

1. Why do countries engage in international trade?

2. State three advantages of free trade.

3. Distinguish balance of trade and balance of payments.

Homework

• Write a one-page summary of International Trade in your notebook.

• Attempt the exercise questions given at the end of the chapter.

Time Allocation

2 periods (80 minutes)

Unit 6: Public Finance and Taxation

Learning Objectives

• Explain the scope of public finance.

• Classify taxes: direct and indirect.

• State the canons of a good tax system.

Key Concepts

• Public finance: income and spending of government.

• Direct taxes: income tax; indirect: sales tax, customs.

• Canons: equity, certainty, convenience, economy.

• Budget: surplus, deficit and balanced.

Teaching Methodology (Step by Step)

1. Warm-up: ask students what they already know about Public Finance and Taxation to activate prior knowledge.

2. Present the core ideas of Public Finance and Taxation with clear board notes, definitions and real-life examples.

3. Explain each key concept in sequence, using questions to check understanding at every stage.

4. Guided practice: short written exercises and class discussion applying Public Finance and Taxation.

5. Recap the main points, clear remaining doubts and close with a quick oral quiz.

Classroom Activities

• Pair activity: students discuss the key ideas of Public Finance and Taxation and present a two-minute summary to the class.

• Group task: prepare a wall chart or mind map on Public Finance and Taxation for classroom display.

Assessment Questions

1. Distinguish direct and indirect taxes with examples.

2. State Adam Smith's canons of taxation.

3. What is a deficit budget? When is it justified?

Homework

• Write a one-page summary of Public Finance and Taxation in your notebook.

• Attempt the exercise questions given at the end of the chapter.

Time Allocation

2 periods (80 minutes)

Unit 7: Economic Development of Pakistan

Learning Objectives

• Distinguish growth from development.

• Describe the structure of Pakistan's economy.

• Identify obstacles to development and their remedies.

Key Concepts

• Growth: more output; development: better living standards.

• Sectors: agriculture, industry, services.

• Obstacles: low savings, energy crisis, illiteracy.

• Remedies: investment, education, stable policies.

Teaching Methodology (Step by Step)

1. Warm-up: ask students what they already know about Economic Development of Pakistan to activate prior knowledge.

2. Present the core ideas of Economic Development of Pakistan with clear board notes, definitions and real-life examples.

3. Explain each key concept in sequence, using questions to check understanding at every stage.

4. Guided practice: short written exercises and class discussion applying Economic Development of Pakistan.

5. Recap the main points, clear remaining doubts and close with a quick oral quiz.

Classroom Activities

• Pair activity: students discuss the key ideas of Economic Development of Pakistan and present a two-minute summary to the class.

• Group task: prepare a wall chart or mind map on Economic Development of Pakistan for classroom display.

Assessment Questions

1. Distinguish economic growth and development.

2. Describe the three sectors of Pakistan's economy.

3. State three obstacles to Pakistan's development.

Homework

• Write a one-page summary of Economic Development of Pakistan in your notebook.

• Attempt the exercise questions given at the end of the chapter.

Time Allocation

2 periods (80 minutes)

Unit 8: The Islamic Economic System

Learning Objectives

• Explain the Islamic concept of ownership.

• Describe the prohibition of interest and its wisdom.

• Explain Zakat as a tool of distribution.

Key Concepts

• Allah is the real owner; man is His trustee.

• Prohibition of Riba, gambling and hoarding.

• Zakat and Ushr ensure circulation of wealth.

• Balance: lawful earning with social responsibility.

Teaching Methodology (Step by Step)

1. Warm-up: ask students what they already know about The Islamic Economic System to activate prior knowledge.

2. Present the core ideas of The Islamic Economic System with clear board notes, definitions and real-life examples.

3. Explain each key concept in sequence, using questions to check understanding at every stage.

4. Guided practice: short written exercises and class discussion applying The Islamic Economic System.

5. Recap the main points, clear remaining doubts and close with a quick oral quiz.

Classroom Activities

• Pair activity: students discuss the key ideas of The Islamic Economic System and present a two-minute summary to the class.

• Group task: prepare a wall chart or mind map on The Islamic Economic System for classroom display.

Assessment Questions

1. Explain the Islamic concept of ownership of wealth.

2. Why is interest prohibited in Islam?

3. How does Zakat reduce economic inequality?

Homework

• Write a one-page summary of The Islamic Economic System in your notebook.

• Attempt the exercise questions given at the end of the chapter.

Time Allocation

2 periods (80 minutes)